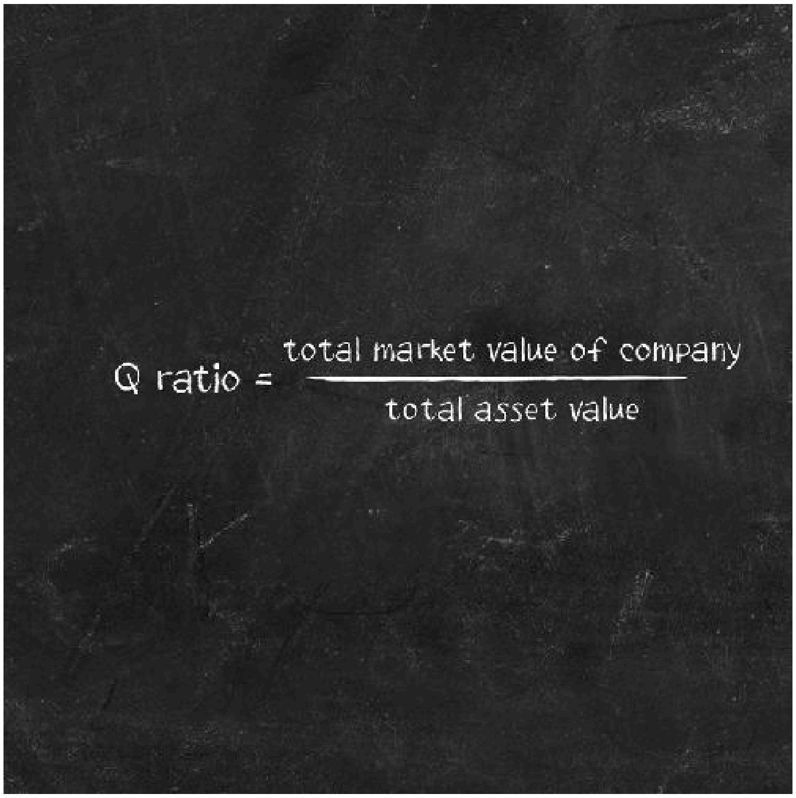
Tobin’s Q



In 1968, economists James Tobin and William Brainard put forward an argument for a link between investment and the stock market. Tobin devised a measure showing this connection, which came to be known as Tobin’s Q.

Suppose that a firm is considering making an outlay on some new capital stock. It could do this by issuing new shares on the stock market (see The stock market). If the price of its shares is greater than the cost of the extra capital stock then the firm should make the investment. One can think of a share price as reflecting the market’s valuation of the firm’s capital, so if it is high relative to the cost of installing extra capital then the firm should make the outlay. Tobin’s Q is the total market value of a company divided by the cost of replacing its capital stock. When Q is high, investment should be high – in particular, when Q is greater than one the firm is ‘overvalued’: its market value is higher than the replacement cost of its assets, which should encourage it to invest in more capital.